

## **NAVIGATING THE AGE OF BIG DATA AND TECHNOLOGICAL DISRUPTION**

In the search for investment opportunity, the financial analysis of businesses and securities has become increasingly sophisticated over the years. Even Benjamin Graham's pencil, one of the sharpest of his era, might not be sharp enough today. Now anyone on Wall Street can build a detailed financial model of any business, since vast amounts of data can be summoned, at little or no cost, at the touch of a finger. But since that information is readily available to everyone now, it confers no obvious edge. The advantage comes when an investor has an analytical edge or insight that allows her to draw better conclusions.

Benjamin Graham and David Dodd acknowledged that they could not anticipate the multitude of changes that would sweep through the investment world over the ensuing years. Technological advances in particular often have a compounding effect that almost ensures more rapid change; new technologies stand on the shoulders of a long chain of previous breakthroughs. Today, accelerating technological change and the disruption it can wreak are regular features of the investment landscape. The robust venture capital industry nearly guarantees that there will be prolific formation of new businesses and intense competition in many or most industries. Furthermore, the steady pace of corporate mergers and acquisitions is bound to materially alter and even transform large numbers of businesses over very short periods.

Investors need an investment approach with principles that are constant and practices that are flexible, so they can navigate through change, assessing challenges facing incumbent firms as well as the newly fertile soil that can nourish the rapid growth of extraordinary new ones. What makes a business successful in one era may apply less in another, not because the approach isn't a sound one, but because the environment has radically shifted, tastes have changed, or the competition has caught up—or even leapt ahead.